ACTIVITY 1

Set the GHG Inventory Purpose and Boundaries

ISO 14064-1:2018 Greenhouse Gas (GHG) Emissions and Removals
TGS-2025055502 · K1 · K2 · K5 · A3 · LO1 · 60 minutes

Objective

Define intended users, reporting boundaries and consolidation choices for a credible organisational GHG inventory.

Scenario

EcoForge Asia Pte Ltd (EFA) manufactures precision cooling equipment in Tuas. It owns 80% of the Tuas plant, holds 40% of a Batam component venture, leases a Singapore office, contracts a Johor warehouse and uses third-party distribution. The board wants a 2025 inventory suitable for management decisions and future independent verification, while the bank wants evidence supporting a sustainability-linked loan.

Materials

- Group-structure and facility fact sheet
- List of intended users and decisions
- Operational-control and equity-share prompts
- Boundary diagram template

Activity questions

- Who will use the inventory and what decisions must it support?
- Which entities and facilities are included under the selected consolidation approach?
- Which exclusions would be material or misleading?
- What evidence will justify each boundary decision?

Required evidence

- Inventory purpose statement
- Organisational boundary diagram
- Consolidation decision log
- Peer-review record

Detailed Procedure

1. Read the EcoForge fact pattern and distinguish verified facts from assumptions or missing information.

2. Write a concise inventory purpose covering intended users, reporting period, decisions and desired assurance readiness.

3. Map each entity, facility, lease and outsourced operation, including ownership and operational-control facts.

4. Compare operational control, financial control and equity share; select one approach and document why it fits the purpose.

5. Apply the chosen approach consistently to each entity and record included, excluded and unresolved items.

6. Define the reporting boundary for direct emissions, imported energy, transportation, products, use of products and other indirect sources relevant to EcoForge.

7. Identify one removal or reservoir question, including whether onsite trees or purchased credits belong in the organisational inventory.

8. Challenge exclusions against relevance, completeness, transparency and decision-usefulness.

9. Peer-review another team's boundary and resolve one disagreement with evidence.

Acceptance Check

The diagram covers every named entity and operation; the consolidation method is applied consistently; every exclusion and unresolved item has a transparent rationale and owner.

Learner completion checklist

Done	Evidence / output	Reviewer comment
■	Inventory purpose statement	
■	Organisational boundary diagram	
■	Consolidation decision log	
■	Peer-review record	